this time the forecasters listed the new reasons for optimism in the market. These included a "rebounding economy" and an observation that the "business climate is good." This was doubly curious, since these reasons for optimism were the same as the reasons for pessimism offered three months earlier. The dreaded economic pickup that supposedly caused people to sell stocks would somehow now stimulate a new wave of buying.

On March 3, readers got the *Constructive View* that the recent bond rally was inspired by the cut in the Fed discount rate, the very same cut that forecasters had doubted would occur. The inflation they had predicted earlier was now pronounced "under tight control," with no sign of recession in sight. The Dow Jones average had responded by hitting 1692.

By March 10, under the title *Consolidation Phase,* Drexel was saying: "We feel that the reasons for being bullish are intact," although in reviewing the forecasts one after another, I couldn't possibly tell you what those reasons had been.

In July-August, Drexel blamed a drop in the stock prices on "selling pressure," combined with the fact that inflation was moribund and the economy was sluggish. This sluggish economy, earlier seen as causing the market to rise and then later as causing it to fall, was apparently causing it to fall once again. An economic pickup, so recently a bearish sign, was now eagerly anticipated as bullish. By the August-September Drexel letter, these positions once again reversed: the economic pickup was deemed a bearish sign, while the sluggish economy with low inflation was once more bullish.

Then on September 29, *Building Confidence,* we learned that stock prices were rising because the "widespread fears of inflation"—previously dismissed—were "somewhat mitigated," while on October 6, *Straining,* the muddling economy and the resulting lack of inflation combined to cause stock prices to fall.

Probably we are not supposed to go back and read these reports all at once, which brings me to Useful Tip Number 23:

A forecaster should never look back